Europe's carbon border will cost India's five largest steel exporters €14.7bn by 2034 if they do nothing; 66% of it is a tax on missing data

€278/t
2026 CBAM on Indian HR coil, EU default values

€56/t
Same tonne, verified, efficient BF-BOF

€739m/yr
Value of verified data to EU buyers

What we found

- The 2026 "2.5% year" is a myth: the phase-out applies to the benchmark, not to emissions.
- The cliff is 2030, when free allocation drops from 77.5% to 51.5%; verified BF-BOF steel pays €210–€275/t by 2034.
- On default values, Indian coil loses to EU mills above €19/tCO_2; verified, it holds until €183.
- Renewable PPAs do not cut steel CBAM (direct emissions only); for aluminium they are insurance.
- H_2-DRI built in 2026 destroys €922/t; as an option it is worth €99/t.

What to do

1. **CBAM-grade MRV + accredited verification** (Company, Now)
2. **Explicit, Article 9-creditable carbon price on exports** (Government, 2026–29)
3. **Scrap and biochar in BF/BOF** (Company, 2026–29)
4. **Efficiency stack (WHR, TRT, CDQ, PCI)** (Company, 2026–29)
5. **FTA: CCTS recognition and phased downstream scope** (Government, 2026–29)

Value at stake, 2026–34 (€ m)

Do nothing (EU defaults) 14,705 → Verify emissions -9,732 → Efficiency stack -550 → Scrap + biochar -611 → Route low-carbon plants to EU -326 → Art. 9: pay in India -732 → Residual paid to EU 2,753

Policy

An explicit, Article 9-creditable carbon price on exports keeps €1.0bn in India over 2026–34; CCTS in its intensity design keeps €49m. MSME goods worth US$1.2bn are already in scope; the 2028 proposal adds US$2.9bn.

Method: CBAM Regulation 2023/956; Implementing Regs. 2025/2620, 2026/1740; Commission Q1–Q3 2026 prices; FY26 company disclosures. Producer intensities and EU volumes are graded estimates. Full sources at /sources.